

THE FAMILY INHERITANCE CONVERSATIONS GUIDE

*The conversations that can save relationships,
reduce conflict and protect your family's future*

By Vanessa Stoykov

vanessastoykov.com.au

Let's Get Real About Money

WELCOME

Welcome From Vanessa

Over more than 25 years working in financial education, I've learned something that surprises many people.

Inheritance is rarely about money. It's about family. It's about expectations. It's about fairness. And most of all, it's about conversations.

Every week through my Daily Mail column, television work, speaking engagements and the Flourishing After 50 community, I hear from Australians navigating some of life's most emotional family decisions.

- A daughter feels guilty because she cannot care for her ageing mother full-time.
- A son assumes he will inherit the family home, only to discover aged care costs have changed everything.
- A blended family struggles to balance the needs of a current partner and children from a previous marriage.
- Adult children argue over who contributed more to caring for Mum or Dad.
- Parents worry that discussing inheritance will create entitlement.
- Children worry that raising the topic will seem greedy.

The result? Silence. And unfortunately, silence can be expensive. Not just financially. Emotionally.

Australia is currently experiencing one of the largest intergenerational wealth transfers in history. Over the coming decades, trillions of dollars will move from one generation to the next.

Yet many families have never discussed who will make decisions if a parent loses capacity, what happens if dementia develops, how aged care may affect inheritance, or the values and legacy parents hope to leave behind.

These conversations can feel uncomfortable. They can trigger strong emotions. They can expose old wounds and unresolved tensions. But avoiding them doesn't make the issues disappear. It simply means those decisions are often made during a crisis.

The purpose of this guide is not to turn you into a legal expert. It's to help you start the conversations that matter. Because the strongest families aren't the ones who avoid difficult conversations. They're the ones willing to have them.

"The greatest gift you can leave your family is not money. It's clarity."

CONVERSATION 1

Who Makes Decisions If I Can't?

Most Australians understand they need a Will. Far fewer understand that a Will only becomes relevant after they die. Some of the most important decisions your family may ever face happen while you're still alive.

What happens if you suffer a stroke? What happens if dementia affects your ability to make decisions? What happens if an accident leaves you temporarily or permanently unable to manage your affairs? Who pays your bills? Who manages your bank accounts? Who makes medical decisions?

READER STORY: MARGARET'S FAMILY

Margaret was 78 when she suffered a significant stroke. Her three adult children rushed to support her. They assumed they would simply step in and help manage her affairs.

Instead, they discovered there was no Enduring Power of Attorney. The bank could not discuss accounts. Bills were accumulating. Family members disagreed about care arrangements. What should have been a time focused on Margaret's recovery became a stressful and emotionally draining process.

The family eventually resolved the situation, but it took months of additional stress that could have been avoided with earlier planning.

The Four Documents Every Adult Should Understand

1. Your Will - Outlines what happens to your assets after you die. Allows you to nominate beneficiaries and appoint an executor.
2. Enduring Power of Attorney - Allows someone you trust to manage financial and legal matters if you lose capacity.
3. Enduring Guardianship - Allows someone to make lifestyle and healthcare decisions if you're unable to make them yourself.
4. Advance Care Directive - Outlines your healthcare wishes and can guide medical decisions if you cannot communicate them yourself.

Vanessa's Insight: One of the biggest myths I hear is, 'My children will just sort it out.' Sometimes they can. Sometimes they can't. I've seen loving families torn apart not because they disagreed with each other, but because nobody knew what Mum or Dad wanted. Clarity is an act of kindness.

CONVERSATION STARTER

Instead of saying:	Try:
"We need to talk about what happens when you die."	"I've been thinking about how families cope when someone becomes unwell. Have you ever thought about who would help if you couldn't manage things yourself?"

CONVERSATION 2

The Bank of Mum and Dad

One of the biggest financial changes over the past decade is the rise of the 'Bank of Mum and Dad'. For many younger Australians, buying a home or recovering from a relationship breakdown can feel overwhelming. Parents naturally want to help.

The challenge is that many parents are helping adult children financially at the same time they are trying to prepare for retirement, support ageing parents of their own and manage increasing costs themselves.

"You can borrow for a house. You cannot borrow for retirement."

READER STORY: ROSS'S DILEMMA

Ross, 67, wanted to help his daughter purchase her first property. But he also had a son - if he gave one child a substantial amount now, how would he ensure things remained fair later?

Ross also worried his daughter had a history of impulsive financial decisions. Was he helping her future or delaying a bigger conversation about financial responsibility?

After discussing the situation, Ross decided to document any assistance provided and have an open conversation with both children. Was the money a gift? A loan? An advance on inheritance? Nobody was left guessing. That conversation alone reduced the likelihood of future conflict.

Before You Help, Ask These Questions

Can I genuinely afford this? Helping a child should never mean jeopardising your own retirement security.

Is it a gift or a loan? If it is a gift, say so clearly. If it is a loan, document it. Clarity today prevents arguments tomorrow.

How will this affect other children? Equal treatment and fair treatment are not always the same thing.

Vanessa's Insight: One of the saddest situations I encounter is when parents reach retirement having given away far more than they could comfortably afford. The intention came from love. The outcome often creates stress, anxiety and regret. Your financial security matters too.

CONVERSATION STARTER

Instead of saying:	Try:
"It's my money and I'll do what I want."	"I'd like us to talk about how we can support each other while making sure everyone understands the decisions being made."

CONVERSATION 3

The Family Home

For many Australians, the family home is far more than a property. It's where birthdays were celebrated. Where children grew up. Where Christmas lunches were held. Where family history was created.

That's why the family home is often the most emotional asset in an estate. I've interviewed families where the home was worth \$500,000 and others where it was worth \$5 million. The emotional conversations were often exactly the same.

"The emotional value of a home is often very different from its market value."

READER STORY: THE HOUSE NOBODY WANTED TO SELL

Janine and her two brothers inherited the family home after their mother passed away. Janine wanted to keep it - every room held memories. Her brothers wanted to sell.

The conversations quickly became emotional. Janine felt her brothers only cared about money. Her brothers felt Janine was expecting them to sacrifice their inheritance.

The real issue wasn't the house. It was what the house represented. After months of tension, they agreed to obtain independent valuations and seek professional advice. Janine eventually purchased her brothers' shares. The family relationship survived because they recognised they weren't arguing about bricks and mortar - they were arguing about memories, fairness and expectations.

One of the most sensitive issues is when one child has spent years helping ageing parents - driving Mum to appointments, managing medications, visiting every week. When inheritance discussions begin, the caring child often feels their contribution should be recognised. The other sibling may feel inheritance should still be divided equally. Neither perspective is necessarily wrong. The key is discussing expectations before emotions become entrenched.

Many people assume the family home will eventually become an inheritance. That isn't always the case. Aged care costs can significantly affect what is ultimately passed on to beneficiaries. The primary purpose of family assets should be supporting the wellbeing of the person who owns them. Inheritance comes second.

Vanessa's Insight: One of the most powerful conversations families can have is simply asking: 'What do you want to happen to the house?' Assumptions are expensive. Conversations are free.

CONVERSATION STARTER

Instead of saying:	Try:
"What are you doing with the house when you die?"	"Have you ever thought about what you'd like to happen to the house in the future?"

CONVERSATION 4

Aged Care, Dementia and the Conversations Families Avoid

If there is one conversation that families delay more than any other, it's this one. Nobody wants to think about getting older. Nobody wants to imagine losing their independence. And nobody wants to sit across from a parent and say: 'What happens if you can no longer look after yourself?'

Yet this is exactly why so many families find themselves making important decisions during a crisis. A fall. A stroke. A dementia diagnosis. Suddenly, conversations that should have happened over several years are compressed into a few stressful days.

"The earlier a family starts talking about ageing, the more choices everyone usually has."

READER STORY: MUM WAS FINE UNTIL SHE WASN'T

Susan's mother had always been fiercely independent. At 82, she still lived alone and drove herself to appointments.

The family noticed small changes - bills arriving unopened, appointments forgotten, stories repeated. Every time Susan raised her concerns, her mother became defensive: 'I'm fine. Stop treating me like an old woman.'

To keep the peace, the family stopped raising the issue. Then one evening Susan received a call from the police. Her mother had become disoriented while driving and couldn't find her way home. Within months, the family was navigating medical assessments, aged care options and financial decisions. Looking back, Susan's biggest regret wasn't the outcome. It was waiting so long to have the conversation.

Many people assume dementia appears suddenly. It usually doesn't. Changes are often gradual - repeating stories, forgetting appointments, struggling with finances, becoming confused about dates. The sooner a family understands what is happening, the more opportunity there is for planning.

Vanessa's Insight: One of the most powerful questions you can ask a parent is: 'What matters most to you as you get older?' The answer tells you almost everything. There is enormous value in knowing the answer before somebody else has to guess.

CONVERSATION STARTER

Instead of saying:	Try:
"We need to talk about aged care."	"I was reading about someone helping their parents plan for the future. Have you ever thought about what you'd want if you needed a bit of extra support one day?"

CONVERSATION 5

Blended Families, Second Marriages and Keeping Things Fair

Modern families are more complex than ever. Second marriages are common. Many people bring children from previous relationships into a new partnership. These families can be full of love, connection and support. They can also create some of the most challenging inheritance conversations a family will ever face.

When people think about inheritance, they are often trying to balance two equally important priorities: protecting the person they love today, and providing for the children they have loved their entire lives. When those priorities collide, emotions can run high.

"Good intentions are not a strategy. Clarity is."

READER STORY: THE FAMILY NOBODY THOUGHT WOULD ARGUE

David and Karen had been married for fifteen years - a second marriage for both. David had two adult children from his first marriage; Karen had one daughter. They assumed everything would work itself out.

Then David passed away unexpectedly. David's children wanted reassurance that part of their father's estate would eventually come to them. Karen was focused on maintaining her financial security and remaining in the family home.

Nobody was trying to be unfair. Nobody was acting maliciously. Yet the absence of clear planning created uncertainty, suspicion and stress. Years later, relationships that once felt close had become strained. The tragedy wasn't the money. It was that nobody had clearly discussed David's wishes while he was alive.

One of the most important concepts in inheritance planning is understanding that equal and fair are not always the same thing. Many parents instinctively want to divide everything equally. Others feel different circumstances require different decisions. People are often more accepting of decisions when they understand the reasoning behind them.

Vanessa's Insight: One of the most powerful questions blended families can ask is: 'What does fairness look like to you?' The answers are often very different. Some define fairness as equality. Others as ensuring everybody's needs are met. The conversation itself is often more valuable than the answer.

CONVERSATION STARTER

Instead of saying:	Try:
"Who gets what when you're gone?"	"How do you think families can balance looking after a partner while also providing for children?"

CONVERSATION 6

The Legacy Beyond Money

When people hear the word inheritance, they usually think about money. But after spending more than 25 years listening to Australians talk about money and family, I've come to believe something important. The most valuable inheritance is often not financial.

It's the lessons we pass on. The values we live by. The stories our children remember. The traditions that survive long after we're gone. Money can change lives. But values can shape generations.

"Money can change lives. Wisdom can change generations."

READER STORY: THE RECIPE BOOK NOBODY EXPECTED

When Maria passed away at 89, her family assumed the most valuable items she would leave behind were financial - a modest estate, some savings, a small home.

What surprised everyone was what became the most treasured possession: a battered recipe book. For decades, Maria had handwritten recipes, family stories and notes in the margins - where dishes came from, who taught her to cook them, what was happening in the family at the time.

After her death, her children had the book professionally copied. Years later, it remains one of the most cherished things she left behind. Not because of its financial value. Because of what it captured about who she was.

The Legacy Letter

One of my favourite exercises is creating what I call a Legacy Letter. It doesn't need to be formal. It simply captures the things you want future generations to know - lessons you've learned, mistakes you've made, values you hope the family carries forward, family history, hopes for future generations.

Imagine receiving a letter from your parents or grandparents that explained not just what they left behind, but what they learned throughout their lives. That is an extraordinary gift.

Vanessa's Insight: Whenever I ask people what they remember most about a loved one, they almost never start with money. They talk about how that person made them feel - kindness, encouragement, strength during difficult times, family traditions, laughter. Don't underestimate the value of the things money cannot buy.

CONVERSATION STARTER

Instead of saying:	Try:
"What are you leaving us?"	"What are the most important lessons life has taught you?"

CONVERSATION 7

"I Don't Want To Talk About It"

If you've ever tried to talk to a parent about ageing, inheritance, dementia, Powers of Attorney or future planning, you've probably heard: 'I'm fine.' 'We don't need to talk about that yet.' 'You'll sort it out when the time comes.'

The problem is that 'another day' often never arrives. Of all the conversations in this guide, this is the one people ask me about most often. Not because they don't understand the importance of planning. Because they don't know how to start.

"The goal isn't to win the conversation. The goal is to keep the conversation going."

READER STORY: EVERY CONVERSATION ENDED IN AN ARGUMENT

Michael's father was 81. His memory was beginning to change - missed appointments, repeated stories, bills left unopened. Every time Michael raised the topic, the conversation ended badly. 'There's nothing wrong with me.' 'You're overreacting.'

After several arguments, Michael stopped bringing it up altogether. For almost two years, the family avoided the issue. Then came a fall. A hospital stay. A series of decisions that suddenly couldn't wait.

Looking back, Michael realised the problem wasn't that his father didn't want to talk. Every conversation felt like a challenge to his independence. Once Michael changed the approach - focusing on his father's wishes rather than what was wrong - everything changed. For the first time, his father engaged. Not because he suddenly enjoyed talking about ageing. Because he felt respected.

Conversation Starters You Can Actually Use

- 'What would you want if you needed extra support one day?'
- 'Who would you trust to make decisions if you couldn't?'
- 'Have you ever thought about what matters most to you as you get older?'

- 'What would a good quality of life look like for you?'
- 'Is there anything you would want us to know if an emergency happened?'

Notice what these questions have in common. They focus on wishes, not death. They focus on control, not loss. They focus on planning, not fear.

Vanessa's Insight: People want to feel heard before they feel helped. Before discussing documents, aged care, or inheritance - listen. Ask questions. Understand what matters to them. The better someone feels understood, the more likely they are to engage in planning conversations. Respect opens doors that pressure rarely can.

PRACTICAL TOOLS

Family Meeting Agenda

A family meeting doesn't need to be formal. It doesn't need to solve every issue. Its purpose is simply to create understanding. Choose a time when nobody is rushed, stressed or dealing with an immediate problem.

1. Why Are We Having This Conversation? 'We're having this conversation because we care about each other and want to make things easier if unexpected situations arise.'
2. What Matters Most? - Values, concerns, future wishes.
3. Important Documents - Will, Enduring Power of Attorney, Enduring Guardianship, Advance Care Directive.
4. Future Care Preferences - Remaining at home, support services, aged care preferences.
5. The Family Home - Future intentions, downsizing, inheritance assumptions.
6. Questions and Concerns - Allow everyone an opportunity to speak.
7. Next Steps - Actions required, professional advice needed, future conversations.

"The purpose of a family meeting is not to have all the answers. It's to ensure nobody is left guessing."

Family Inheritance Checklist

Legal Planning

- ☐ Current Will in place
- ☐ Enduring Power of Attorney completed
- ☐ Enduring Guardianship completed
- ☐ Advance Care Directive completed
- ☐ Important documents stored safely
- ☐ Family knows where documents are located

Financial Planning

- ☐ Assets and liabilities documented
- ☐ Superannuation reviewed
- ☐ Beneficiary nominations checked
- ☐ Financial adviser consulted if required

Family Conversations

- ☐ Family meeting held
- ☐ Future care preferences discussed
- ☐ Family home discussed
- ☐ Expectations discussed openly

Legacy Planning

- ☐ Important family stories recorded
- ☐ Legacy letter considered
- ☐ Family values discussed
- ☐ Traditions documented

ACTION PLAN

Quick Action Guide

This Week

- ☐ Ask one family member a future planning question
- ☐ Locate your Will and important documents
- ☐ Write down three things that matter most to you

This Month

- ☐ Schedule a family conversation
- ☐ Review Powers of Attorney and healthcare wishes
- ☐ Record one important family story

This Year

- ☐ Complete or update key legal documents
- ☐ Discuss future care preferences
- ☐ Create a Legacy Letter for future generations

You don't need to solve everything today. You simply need to begin. Because the best time to have these conversations is before you need them.

Resources

My Aged Care

www.myagedcare.gov.au

Services Australia

www.servicesaustralia.gov.au

Dementia Australia

www.dementia.org.au

MoneySmart

moneysmart.gov.au

All About Inheritance Course

vanessastoykov.podia.com/all-about-inheritance

Find a Financial Adviser

vanessastoykov.com.au/financial-advice/

More Articles & Resources

vanessastoykov.com.au

ABOUT

About Vanessa Stoykov

Vanessa Stoykov is an international award-winning money educator, author, speaker and television host who has spent more than 25 years helping Australians make smarter financial decisions.

As the founder of Evolution Media Group, Vanessa has worked with some of Australia's leading financial institutions, superannuation funds and professional services firms to create financial education programs that help people navigate life's biggest money decisions.

Vanessa is the author of *The Five Conversations About Money to Radically Change Your Life* and is widely recognised for her ability to make complex financial topics relatable, practical and easy to understand.

Through her media work, speaking engagements and weekly Daily Mail column, Vanessa helps Australians navigate important conversations around money, family, retirement, inheritance and life transitions. Her passion is helping people feel more confident discussing the financial issues that matter most.

"The best inheritance plans don't start with a Will. They start with a conversation."

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